

Module 10

Business and

Company Law

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

WRITTEN QUESTIONS (Total: 100 marks)

Answer 1(a)

The question required candidates to discuss employees' breach of fiduciary duties owed to their employer and the legal consequences.

Under common law, it is the employee's primary duty to serve his/ her employer with fidelity and good faith. Therefore, the employee, as a fiduciary, undertakes to place the interest of his/ her employer ahead of his/ her own, and should not place himself/ herself in a position which is in conflict with the interest of his/ her employer.

The employee has a fiduciary duty not to solicit clients or act in accordance with the suggestion of a client to leave his/ her employer to take up its business while he/ she is still in the employment of his/ her employer. According to the case *Koo & Yip v Koo Hoi Yan* [2003] 3 HKLRD 296, setting up a company or business in direct competition with the former employer after termination of employment must be conducted within reasonable limits.

By resigning from her position and setting up a private limited company to take up the business of her former employer's substantial client W & W Company Limited ("W & W") within the restrictive covenant period, Susan was in breach of both the fiduciary duties owed to her former employer and the restrictive covenant in her employment contract with her former employer. Therefore, Susan is probably liable to account for the secret profits she had made in taking up the business transferred to her by W & W.

Answer 1(b)

The question required candidates to discuss the offence of bribery committed by Peter due to his accepting the secret commission from T & T Company Limited ("T & T").

The legislation which aims at combating corruption is the Prevention of Bribery Ordinance (Cap.201) ("the POBO"). The key section which deals with corrupt transactions with agents is s.9. S.9 prohibits conduct which subverts the integrity of the agency relationship, such as acceptance by the agent of advantage from third parties without the principal's prior consent or approval or attempt made by third parties to induce the agent to engage in corrupt practice by offering such an advantage.

According to s.9(1), it is an offence for an agent, including an employee of an employer (the principal), without lawful authority or reasonable excuse, to solicit or accept any advantage as an inducement or reward on account of doing some act in relation to his/ her principal's affairs. Under s.2, "agent" is defined as a public servant and any person employed by or acting for another.

According to s.2, an advantage includes: a gift, a loan, a fee, a reward or commission in the form of money, property, an interest in a property, employment or contract etc. Secret commission is definitely an advantage and a bribe. By accepting the secret commission from T & T, Peter has committed the offence of accepting a bribe under s.9(1).

Note: Unless otherwise stated, the references to the above provision(s) are made to the Prevention of Bribery Ordinance (Cap.201).

Answer 1(c)

The question required candidates to discuss the breach of employment contract and summary dismissal.

According to s.9(1)(a), an employer is entitled to summarily dismiss an employee on the following grounds:

- (i) Wilfully disobeys a lawful and unreasonable order;
- (ii) Conducts himself/ herself in such a way which is inconsistent with the due and faithful discharge of his/ her duties;
- (iii) Being guilty of fraud or dishonesty;
- (iv) Being habitually neglectful of his/ her duties.

Under common law, an employer may summarily dismiss an employee without notice or payment in lieu of notice if the conduct of the employee amounts to a serious breach of the implied duty of good faith owed to his/ her employer, for instance, dishonest conduct such as accepting secret commission.

Peter's acceptance of the secret commission from T & T without prior approval of his employer is dishonest conduct and definitely amounts to a breach of his employment contract both under common law and under s.9(1)(a). Therefore, Peter's employer is entitled to dismiss him without notice or payment in lieu of notice for his dishonest conduct under both common law and s.9(1)(a).

Note: Unless otherwise stated, the references to the above provision(s) are made to the Employment Ordinance (Cap.57).

[Note: Marks can be given to candidates who quote the case of Cheung Chi Wah Patrick v Hong Kong Cement Co Ltd [2017] HKCU 2291 in which an employer was entitled to dismiss an employee summarily for gross misconduct.]

Answer 2(a)

The question required the candidates to discuss misrepresentation under common law and the Misrepresentation Ordinance (Cap.284) ("MO").

Misrepresentation is not defined in the MO. Under common law, misrepresentation is a false statement of fact which induced that party to enter into a contract. In order to constitute misrepresentation, the false statement made by the representor must be one of fact but not one of opinion or future intention. The misrepresentation must be material, which means it would affect a reasonable person's decision whether to enter into the contract and finally, it must be shown that the representee has acted upon the false statement, that is, the representee has been induced to enter into the contract based upon the false statement.

There are three types of misrepresentation:

- (i) Fraudulent misrepresentation: When a false statement is made knowingly, without belief in its truth, or recklessly, not caring whether it is true or false. It is essentially a statement made without honest belief.
- (ii) Negligent misrepresentation: Where a false statement is made in the honest belief that it is true. However, when the person makes the statement, he/ she fails to exercise reasonable care and skill in coming to that conclusion.
- (iii) Innocent misrepresentation: Where a person makes a false statement in the honest belief that it is true and there are reasonable grounds for him/ her to hold such a belief.

If Ronald thinks that Nancy intentionally lied to Ronald when Nancy said there was no other dessert shop in the village, Ronald can try to sue Nancy for fraudulent misrepresentation. However, Ronald will have to prove that Nancy had a dishonest intention when she made the representation.

It will be much easier for Ronald to sue Nancy for negligent misrepresentation. The burden of proof regarding negligent misrepresentation has been reversed by the MO. Under s.3(1), once the representee has shown the statement of fact which induced him/ her to enter into the contract was false, the representor will be presumed to be liable unless he/ she can prove that he/ she had reasonable grounds to believe (and did believe) that the facts represented were true at the time of the conclusion of the contract.

If it can be proved that Nancy did not know that Eva had opened a dessert shop before and up to the time when Nancy entered into the contract with Ronald, then Nancy might be able to argue that she had reasonable grounds to believe that the facts represented to Ronald were true at the time of the conclusion of the contract and the representation Nancy made to Ronald was an innocent misrepresentation.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Misrepresentation Ordinance (Cap.284).

Answer 2(b)

The question required the candidates to discuss the remedies available to the representee of misrepresentation.

Under common law, the remedies for misrepresentation are rescission and damages. Rescission allows the contract to be set aside and the parties be restored to their pre-contractual position.

However, the common law remedies have been modified by the MO. S.3(2) of the MO now provides a discretionary remedy for non-fraudulent misrepresentation. Under the MO, the court now has discretion to award damages to the representee of non-fraudulent misrepresentation in lieu of rescission if it thinks it is fair to do so.

Although there is no bar to rescissions, the court may nevertheless award damages to Ronald in lieu of rescission of the contract if it comes to the conclusion that the misrepresentation made by Nancy is non-fraudulent and wholly innocent.

Answer 2(c)

The question required the candidates to analyse the jurisdictions of the law courts and tribunal for a civil claim.

The Small Claims Tribunal set up under the Small Claims Tribunal Ordinance (Cap.338) deals with monetary claims involving amounts not exceeding HK\$75,000. The hearing in the Small Claims Tribunal is informal and no legal representation is allowed. The plaintiff/claimant may consider abandoning part of the claim so that it can be heard in this tribunal if the claim exceeds HK\$75,000. This tribunal mainly handles claims of debts, service charges, damage to property and consumer claims. The claimant who has obtained a favourable judgment still needs to take further action to enforce it if the defendant refuses to pay.

The District Court has both criminal and civil jurisdictions. As regards its civil jurisdiction, the District Court can hear disputes relating to contracts involving an amount exceeding HK\$75,000 and up to HK\$3 million. It also deals with claims for recovery of land involving an amount of up to HK\$7 million and cases involving annual rent or a rateable value of an amount of up to HK\$320,000. It also has jurisdiction over employees' compensation claims, equal opportunity claims and matrimonial matters such as divorce and maintenance. The District Court has no appellate jurisdiction.

The Court of First Instance of the High Court has unlimited jurisdiction in both criminal and civil matters. As far as its civil jurisdiction is concerned, the Court of First Instance hears claims involving an amount of over HK\$3 million. This court also deals with admiralty cases, bankruptcy cases, company winding-up cases as well as adoption and probate cases. For civil cases, the High Court Judge sits without a jury except for defamation cases. It has appellate jurisdiction and hears appeals from the Magistrates' Courts, the Labour Tribunal, the Small Claims Tribunal and the Obscene Articles Tribunal.

As Ronald's claim involves an amount of more than HK\$75,000 and up to HK\$3 million, it falls within the civil jurisdiction of the District Court.

Answer 3(a)

The question required the candidates to discuss the different types of an agent's authority in law of agency and under what circumstances the principal is bound by the acts of the agent.

(i) Types of an agent's authority

There are two types of an agent's authority: actual authority and apparent authority.

Actual authority includes express actual authority and implied actual authority. Express actual authority means the authority conferred on the agent who has expressly agreed with the principal to carry out particular acts or responsibilities. Implied actual authority is implied from the relationship rather than created by any oral or written instructions from one party. An agent may also derive implied actual authority from his/ her position, for instance, the usual scope of authority of a company director.

Apparent authority, or ostensible authority, is authority which a third party believes the agent has. Apparent authority is established if the following requirements are satisfied:

- The principal, or someone authorised by him/ her, must have represented by words or conduct to the third party that the agent had authority to act on behalf of the principal. This representation may also be implied by previous dealings between the parties.
- The third party must have relied on the representation to his/ her detriment.

[Note: Candidates should be given marks if they mention "Agency by Estoppel" which arises when the principal holds out a person as his/ her agent to a third party by words or conduct as having authority to enter into contracts on his/ her behalf and the third party has relied on it in good faith and thereby sustained a loss.]

(ii) Authority to order the precious stones by Sandy

Before her resignation, Sandy was an agent who derived her authority from her principal, David's company, Treasures Company Limited ("TCL"). Sandy, as a director, had express actual authority as well as implied actual authority to enter into contracts with suppliers or clients on behalf of TCL.

After her resignation, Sandy no longer had express actual or implied actual authority to enter into any contracts with suppliers or clients because her boss David asked her to pass the work she was doing to other colleagues and not to engage in any new business with any suppliers or clients. Therefore, Sandy had no express or implied actual authority to order precious stones from ABD Company Limited ("ABD") after her resignation.

(iii) Liability to pay the precious stones by TCL

In the case, neither David nor Sandy had informed any suppliers or clients, including ABD, of Sandy's resignation. Therefore, in the eyes of third parties such as ABD, Sandy still had authority to enter into contracts with them after her resignation. As ABD knew nothing about Sandy's resignation, it was entitled to rely on Sandy's apparent authority.

In the case of *Lloyd v Grace, Smith & Co. [1912] UKHL 606*, a client was fraudulently induced by a clerk of a law firm to sign a deed transferring title of the property to him. As the fraudulent act of the clerk, who was the law firm's representative, fell within the ordinary business of the law firm, the clerk had apparent authority. It was therefore held that the law firm was liable to the client as the principal of the clerk. It was irrelevant whether the law firm had benefited from the clerk's fraud.

As an agent can bind the principal to a contract when he/ she acts with authority, both actual or apparent, David's company, TCL, is probably bound by the contract entered into by Sandy on its behalf.

Answer 3(b)

The question required the candidates to analyse the grounds for the compulsory winding-up of a company by the court.

Under s.177, there are six grounds on which a court may make an order for the winding-up of a company.

One of the most common grounds for compulsory winding-up is: "The company is unable to pay its debts". A company is deemed to be unable to pay its debts in one of the following three situations:

- (i) Where the creditor has served a statutory demand on the company and the company failed to pay the amounts of debt owed (which must be at least HK\$10,000) within 21 days. However, even if this requirement is met, the petition may still be dismissed if the company can show that there is genuine dispute about the debts.
- (ii) Where a court judgment, decree or order of a court made in favour a creditor is returned wholly or partly unsatisfied; or
- (iii) If the court is satisfied that the company is unable to pay its debts, taking into account the company's contingent and prospective liabilities. The courts have also applied both the cash flow test and the balance sheet test to determine whether a company is unable to pay its debts.

If David can show that there are good reasons for disputing the debt owed to XYZ Company Limited ("XYZ"), e.g. goods delivered by XYZ were defective goods, the petition may be dismissed by the court even if XYZ wants to petition for the winding-up of TCL.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies (Winding up and Miscellaneous Provisions) Ordinance (Cap.32).

Answer 4(a)

The question required the candidates to discuss the four essential elements of the tort of negligence.

Liability for negligence is imposed on a person for his/ her careless acts which result in personal injury and damage to or loss of property. It is a civil wrong and not a crime and the wrongdoer is known as a "tortfeasor".

In order to prove the liability for negligence, the plaintiff, Mrs. Young, must establish the following four elements:

- (i) The defendant owed a duty of care to the plaintiff;
- (ii) The defendant breached the duty of care;
- (iii) The plaintiff's injury or loss/ damage is directly caused by the defendant;
- (iv) The injury or damage must be reasonably foreseeable.

In the famous case of *Donoghue v Stevenson [1932] AC 562*, the judge Lord Atkin created the neighbour principle to establish the duty of care. Everyone must "take reasonable care to avoid acts or omissions which you can reasonably foresee would be likely to injure your neighbour. Your neighbour is anyone closely and directly affected by my act that I ought to have them in my contemplation as being so affected when I am directing my mind to the acts or omissions which are called in question".

As a driver, Roy definitely owes a duty of care to other road users including pedestrians like Mrs. Young.

By talking to his daughter and running a red light, Roy was very probably in breach of his duty of care.

Mrs. Young's injury was directly caused by Roy's careless act of running a red light.

It is reasonably foreseeable that a road user like Mrs. Young will sustain injury or harm as a result of Roy's careless act of driving.

Therefore, Mrs. Young is entitled to bring a claim against Roy for damages.

Answer 4(b)

The question required the candidates to discuss the implied terms of the Sale of Goods Ordinance (Cap.26).

As Tom is a consumer and "Good Equipment" is selling in the course of business, the implied term of merchantable quality under s.16(2) applies to the sale of the wheelchair.

Under s.2(5), goods are of merchantable quality if they are:

- (i) as fit for the purpose or purposes for which goods of that kind are commonly bought;
- (ii) of such standard of appearance and finish;
- (iii) as free from defects;
- (iv) as safe; and
- (v) as durable.

Although Tom selected and briefly examined the wheelchair, s. 16(2) still applies as the defect of the brake of the wheelchair was not apparent on reasonable examination. The wheelchair was not safe or durable if the brake already failed to work on the day of its delivery. Therefore, Tom is entitled to return the wheelchair and asks for a refund of the purchase price or a replacement of the wheelchair.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Sale of Goods Ordinance (Cap.26).

Answer 5(a)

The question required the candidates to discuss the important clauses to be included in the joint venture agreement.

The relationship between the parties of a contractual joint venture is governed by contract law as the rights and responsibilities of the parties, management and control of the joint venture etc are set out in a joint venture contract. Each party retains the management and control of its personnel and resources.

The important clauses which are usually included in a joint venture agreement are:

- (i) Date of the execution of the agreement;
- (ii) Names and contact details of the parties to the joint venture;
- (iii) Name of the joint venture;
- (iv) Place/ principal place and territory of the business of the joint venture;
- (v) Purpose and nature of the joint venture business;
- (vi) Term/ duration of the joint venture;
- (vii) Capital contribution/ contribution in kind made by each party;
- (viii) Percentage of each party's share of profits and losses;
- (ix) Clauses dealing with default of one party;
- (x) Liability arising from the default and allocation of risks in the event of foreseeable events.

Other clauses which may be included in the joint venture agreement are:

- (i) Management and control clause regarding the appointment of the Board of Directors;
- (ii) Confidentiality clause restricting the parties from disclosing confidential information except to those employees, agents and representatives on a need-to-know basis;
- (iii) Assignment clause regarding the transfer of the each of the parties' rights or duties;
- (iv) Arbitration clause regarding dispute resolution;
- (v) Termination clause regarding the termination of the joint venture agreement.

Answer 5(b)

This question required the candidates to discuss the obligation of a director or substantial shareholder to disclose to the Hong Kong Stock Exchange and the listed company concerned his/ her interest in the shares of that listed company under Part XV of the Securities and Futures Ordinance (Cap.571) ("SFO").

(i) Obligation to disclose the interest in listed shares

Under Part XV of the SFO, certain categories of persons are required to disclose the interest in the shares they hold in a listed company. In general, such persons include: (1) substantial shareholders (s.310) and (2) directors and chief executives of a listed company (ss.341 to 351).

Under s.310, a person has the obligation to disclose to the Hong Kong Stock Exchange and the listed company concerned when he/ she acquires, or ceases to have a notifiable percentage interest in shares and when there are changes in his/ her percentage interest.

Under s.315(1), the notifiable percentage level for substantial shareholders shall be construed as a reference to is 5%. Under s.315(2), the specified percentage level for substantial shareholders shall be construed as a reference to is 1%.

(ii) Circumstances to disclose the interest in listed shares

Under s.310, disclosure is required on the occurrence of any of the following events which are set out in s.313:

- (i) The person has a notifiable interest immediately after the relevant time, but did not have a notifiable interest immediately before the relevant time;
- (ii) The person had a notifiable interest immediately before the relevant time, but does not have a notifiable interest immediately after the relevant time;
- (iii) The person had a notifiable interest immediately before the relevant time, and has a notifiable interest immediately after the relevant time, but the percentage levels of his/ her interest immediately before and immediately after the relevant time are not the same; or
- (iv) The person had a notifiable interest immediately before the relevant time, and has a notifiable interest immediately after the relevant time, but the nature of his/ her interest (or part thereof) immediately before and immediately after the relevant time is not the same.

The term "relevant time" as defined in s.308 means the time of the occurrence of the "relevant event". The term "relevant event" is defined in the same section in detail.

Lily is a director of Good Profits Company Limited ("GPL") and also a substantial shareholder with a notifiable interest because she holds 5% of the shares of GPL. Therefore, Lily has an obligation to disclose her interest in the shares of GPL to the Hong Kong Stock Exchange and to the listed company concerned, i.e. GPL.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Securities and Futures (Cap.571).

[Note: Marks can be given to candidates if they mention in their answers that Lily has a duty to disclose to the Hong Kong Stock Exchange and the listed company concerned, namely GPL, if there is any change of 1% or more in the percentage level of her interest in the shares of GPL.]

Answer 6(a)

The question required the candidates to discuss the principles of separate legal entity and limited liability of the members/ shareholders of the company.

Under common law, a company is regarded as a legal entity separate from its shareholders/ members and directors/ officers. The shareholders' liability is limited to the amount they have invested in the company in form of share capital.

A company is treated as a separate legal entity, as illustrated by the classic case of *Salomon v A. Salomon and Co Ltd* [1897] AC 22 in which it was held that a company at law is a different person even if it is actually operated by only one person Mr. Salomon. Mr. Salomon could be both a shareholder and creditor of the company. Therefore, Mr. Salomon could enforce his debenture against the company in the capacity of a secured creditor when the company was in liquidation.

On the other hand, Mr. Salomon, being the shareholder, was held not liable for the debts of the company under the principle of separate legal entity.

Under s.115 of the Companies Ordinance (Cap.622) ("CO"), a company has the capacity, rights and powers of a natural person of full age and may do anything permitted or required to be done by its articles or any Ordinance or rule of law and has the power to hold or buy and sell land as well. In the case of *Farrar and Farrars Limited* [1888] 40 Ch. D 395, it was held that a sale of a property by a member/ shareholder of a company to that company was not a sale of a property to himself. Land owned by a shareholder of a company is not land owned by a company.

Being a separate legal entity, a company limited by shares or guarantee can limit the liability of the founders and shareholders for the debts of the company, as shown in abovementioned case of *Salomon v A. Salomon*. One of the greatest advantages of incorporating a company limited by shares to run a profit making business is the limited liability enjoyed by the shareholders, that is, to the amount which remains unpaid on the shares held by them.

Answer 6(b)

This question required the candidates to discuss whether corporate veil should be lifted/ pierced.

The corporate veil is the protection given to the shareholders under the principle of separate legal entity. The court will generally not lift the corporate veil, that is, disregard the principle of separate legal entity and hold the shareholders liable for the company's debts or liabilities. Under common law, the general rule for lifting or piercing the corporate veil is where the company is used as a vehicle, a "mere façade", to perpetrate fraud or evade legal obligations or liabilities.

In *Hashem v Shayif* (2008) EWHC 2380, the mere façade principles are summarised as follows:

- (i) On the authority of *Salomon v A. Salomon*, mere ownership and control of the company by one particular person are not regarded as sufficient to lift the corporate veil.
- (ii) The court cannot lift the corporate veil merely because it is considered necessary to do so in the interest of justice.
- (iii) The corporate veil can only be lifted if there is impropriety which is linked to the use of the company structure to avoid or conceal legal liability.
- (iv) The court is entitled to lift the corporate veil if both control of the company by the wrongdoers and their impropriety, that is, misuse of the company by the wrongdoers as a façade to conceal or hide their wrongdoing, can be proved.
- (v) Though not originally incorporated with any deceptive or fraudulent intention, a company can be a façade if it is being used as a façade at the time of the relevant transaction.
- (vi) The court will only lift the corporate veil to provide a remedy for the particular wrong which those in control of the company have done. The court's lifting of the veil for one purpose does not mean the veil will be generally lifted for all purposes.

In *Winland Enterprises Group Inc v Wex Pharmaceuticals Inc* (2012) 2 HKLRD 757, although the subsidiary S2 might be a façade or puppet of the parent company C and controlled by C, the court refused to lift the corporate veil because there was no evidence to show that S2 was used by C to evade C's legal obligation or liability.

Similarly, in *Prest v Petrodel Resources Ltd & Ors* [2013] UKSC 34, [2013] 2 AC 415, the court expressed the view that the corporate veil would only be lifted if a person intentionally used a company under his control to evade or frustrate the enforcement of an existing legal obligation or liability.

On the authority of the Winland case or the Prest case, the parent company, Brilliant Company Limited ("BCL"), will probably not be held liable for the damages of Excellent Company Limited ("ECL") because both companies carry out their business properly and in accordance with the law. As there is no evidence to show that ECL has been used by BCL to avoid liabilities or for any other dishonest or fraudulent purposes, the court will probably not lift the corporate veil in this case.

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